Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three and nine months ended September 30, 2006 and 2005

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at September 30, 2006	As at September 30, 2005	As at December 31, 2005
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 1,609**	$ 11,690	$ 11,382
Accounts receivable (Note 4)	**39,520**	24,710	22,070
Due from Maple Leaf Foods Inc.	**–**	736	–
Inventories	**43,901**	38,626	35,955
Future tax asset – current	**4,814**	6,778	5,327
Prepaid expenses and other assets	**4,360**	4,286	2,142
	94,204	86,826	76,876
Property and equipment	**351,324**	354,928	353,669
Goodwill (Note 7)	**311,634**	315,537	314,949
Other long-term assets (Note 2a))	**64,473**	2,650	1,252
Future tax asset – non-current	**371**	8,040	8,669
Other intangibles	**5,438**	5,843	5,948
	$ 827,444	$ 773,824	$ 761,363
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Accounts payable and accrued charges	**149,799**	142,500	136,385
Due to Maple Leaf Foods Inc.	**3,008**	**–**	4,736
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**19,932**	18,974	22,624
Current portion of long-term debt	**174**	517	226
	174,438	163,516	165,496
Long-term debt (Note 2a))	**46,348**	56,116	32,083
Future tax liability	**30,023**	25,888	23,303
Other long-term liabilities	**5,902**	9,154	5,749
Shareholders' equity	**570,733**	519,150	534,732
	$ 827,444	$ 773,824	$ 761,363

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended September 30, **2006**	2005	Nine months ended September 30, **2006**	2005
		(As Restated) (Note 2(a))		(As Restated) (Note 2(a))
Sales	**$ 342,344**	$ 314,518	**$ 979,453**	$ 918,174
Earnings from operations before restructuring costs	**26,836**	32,865	**87,019**	85,355
Restructuring costs (Note 3)	**–**	–	**–**	4,723
Earnings from operations	**26,836**	32,865	**87,019**	80,632
Other income (expense)	**(40)**	25	**140**	989
Earnings before interest and income taxes	**26,796**	32,890	**87,159**	81,621
Interest expense	**796**	1,160	**2,630**	4,551
Earnings before income taxes	**26,000**	31,730	**84,529**	77,070
Income taxes (Note 8)	**28,715**	8,692	**44,967**	20,885
Net earnings (loss) for the period	**$ (2,715)**	$ 23,038	**$ 39,562**	$ 56,185
Earnings (loss) per share - basic	**$ (0.11)**	$ 0.91	**$ 1.56**	$ 2.21
Earnings (loss) per share - diluted	**$ (0.11)**	$ 0.90	**$ 1.56**	$ 2.19
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars)

(Unaudited)	Nine months ended September 30, **2006**	2005
Retained earnings, beginning of period	**$ 406,649**	$ 337,827
Net earnings for the period	**39,562**	56,185
Dividends declared ($0.18 per share; 2005: $0.18 per share)	**(4,575)**	(4,575)
Retained earnings, end of period	**$ 441,636**	$ 389,437

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

(Unaudited)	Three months ended September 30, 2006	Three months ended September 30, 2005	Nine months ended September 30, 2006	Nine months ended September 30, 2005
CASH PROVIDED BY (USED IN)				
Operating activities				
Net earnings	**$ (2,715)**	$ 23,038	**$ 39,562**	$ 56,185
Add (deduct) items not affecting cash:				
Depreciation and amortization	**11,020**	10,988	**33,404**	32,198
Future income taxes	**19,049**	1,097	**15,530**	(52)
Loss (gain) on sale of property and equipment	**62**	10	**(68)**	(871)
Other	**58**	(2,158)	**(1,010)**	(378)
Change in operating working capital	**21,833**	15,351	**(17,607)**	(12,266)
	49,307	48,326	**69,811**	74,816
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(4,575)**	(4,575)
Change in long-term debt	**(31,559)**	(57,749)	**(42,137)**	(29,243)
	(33,084)	(59,274)	**(46,712)**	(33,818)
Investing activities				
Additions to property and equipment	**(12,160)**	(10,308)	**(32,477)**	(42,914)
Proceeds from sale of property and equipment	**637**	46	**1,443**	4,407
Purchase of net assets of business	**–**	**–**	**(1,865)**	**–**
Sale (purchase) of intangible assets	**5**	(331)	**27**	(113)
	(11,518)	(10,593)	**(32,872)**	(38,620)
Increase (decrease) in cash and cash equivalents	**4,705**	(21,541)	**(9,773)**	2,378
Cash and cash equivalents (bank indebtedness), beginning of period	**(3,096)**	33,231	**11,382**	9,312
Cash and cash equivalents (bank indebtedness), end of period	**$ 1,609**	$ 11,690	**$ 1,609**	$ 11,690

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

(Unaudited)	Three months ended September 30, **2006**	2005 (As Restated) (Note 2(a))	Nine months ended September 30, **2006**	2005 (As Restated) (Note 2(a))
Sales				
Fresh Bakery	**$ 233,856**	$ 223,403	**$ 671,191**	$ 642,750
Frozen Bakery	**108,488**	91,115	**308,262**	275,424
	$ 342,344	$ 314,518	**$ 979,453**	$ 918,174
Earnings from operations, before restructuring costs				
Fresh Bakery	**$ 25,507**	$ 24,902	**$ 73,927**	$ 65,640
Frozen Bakery	**1,329**	7,963	**13,092**	19,715
	$ 26,836	$ 32,865	**$ 87,019**	$ 85,355
Additions to property and equipment				
Fresh Bakery	**$ 9,875**	$ 6,751	**$ 23,016**	$ 19,216
Frozen Bakery	**2,285**	3,557	**9,461**	23,698
	$ 12,160	$ 10,308	**$ 32,477**	$ 42,914
Depreciation and amortization				
Fresh Bakery	**$ 5,723**	$ 5,727	**$ 17,222**	$ 16,901
Frozen Bakery	**5,297**	5,261	**16,182**	15,297
	$ **11,020**	$ 10,988	$ **33,404**	$ 32,198

	As at September 30, 2006	As at September 30, 2005	As at December 31, 2005
	(Unaudited)	(Unaudited)	
Total assets (Note 2)			
Fresh Bakery	**$ 367,010**	$ 349,919	$ 360,842
Frozen Bakery	**342,999**	350,313	351,737
Non-allocated assets	**117,435**	73,592	48,784
	$ 827,444	$ 773,824	$ 761,363

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Notes to Consolidated Financial Statements
(Tabular amounts in thousands of Canadian dollars)

Nine months ended September 30, 2006 and 2005

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or "the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 87.5% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at September 30, 2006.

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2005. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2005, except for the following:

a) Accounting Changes

During September 2006 the Company repaid approximately $30 million in debt to Maple Leaf Foods Inc. As a result the Company will no longer be in a position that it is certain to settle the remaining debt and foreign currency swap asset simultaneously on a net basis. Accordingly, the Company has presented long-term debt to Maple Leaf and the long-term swap receivable from Maple Leaf on a gross basis. Had the prior periods been presented on this basis, the impact would be an increase in total assets and total liabilities of $57.0 million and $56.4 million as at September 30, 2005 and December 31, 2005, respectively.

Effective January 1, 2006 the Company adopted retroactively, with restatement of prior periods, the guidance presented in EIC Abstract 156 “Accounting by a Vendor for Consideration Given to a Customer (including a Reseller of the Vendor’s Products)”. The EIC requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive an identifiable benefit in exchange for the consideration. The impact of the adoption of this standard was a reduction in sales during the quarter of approximately $34.7 million (2005: $31.6 million) and year-to-date of approximately $98.7 million (2005: $89.4 million). This accounting change had no impact on operating earnings, net earnings or earnings per share.

b) Comparative figures

Certain 2005 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2006 and the year ended 2005.

3. RESTRUCTURING COSTS

During the first quarter of 2005, the Company recorded $4.7 million in restructuring costs ($3.2 million after tax), relating primarily to the closure of its bakery in Peterborough, England and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf. Included in the $4.7 million were provisions of $1.4 million relating to employee terminations, facility exit costs and other restructuring costs. Of the $1.4 million in provisions, a balance of $0.3 million remains at September 30, 2006.

4. ACCOUNTS RECEIVABLE

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At September 30, 2006, trade accounts receivable amounting to $70.0 million (September 30, 2005: $70.0 million; December 31, 2005: $70.0 million) has been sold under these programs.

5. PENSIONS

During the quarter, the Company recorded $2.6 million related to net benefit plan expense (2005: $2.4 million). For the first nine months of 2006, the Company recorded $7.7 million in net benefit plan expense (2005: $7.1 million).

6. ACQUISITIONS

On March 24, 2006, the Company acquired Harvestime Limited (Harvestime), a bakery in Walsall, England for net cash consideration of $1.9 million. Harvestime is a producer of par-baked breads, rolls and specialty bakery products. The Company has not yet finalized the purchase price allocation for this acquisition.

7. GOODWILL

In accordance with Canadian accounting standards section 3062, "Goodwill and Other Intangible Assets", the Company tests goodwill for possible impairment on an annual basis and at any other time if an event occurs or circumstances change that would more likely than not reduce the fair value of a reporting unit below its carrying amount. During the second quarter of 2006, the Company completed the goodwill impairment test for all reporting units and determined that there was no impairment to the carrying value of goodwill.

8. INCOME TAXES

In accordance with CICA Handbook section 3465, "Accounting for Income Taxes", the Company reviews all available positive and negative evidence to evaluate the recoverability of deferred tax assets. This includes a review of the Company's cumulative losses in recent years, the carry forward period related to the tax losses, and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company's accumulated tax losses in the U.S. frozen bakery business, there is now sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, in the third quarter the Company recorded a valuation allowance of $21.2 million against the full amount of the related net future tax asset related to tax losses in the U.S.

Included in the income tax expense for the second quarter is a one-time gain of $1.3 million related to a revaluation of the company's future tax assets and liabilities due to changes in income tax regulations enacted during the second quarter.

9. SUPPLEMENTAL CASH FLOW INFORMATION

	Three months ended September 30,		Nine months ended September 30,	
	2006	2005	**2006**	2005
Net interest paid	**$ 792**	$ 1,221	**$ 2,879**	$ 5,082
Net income taxes paid	**5,502**	7,242	**33,570**	27,739

10. SUBSEQUENT EVENTS

On October 2, 2006, the Company acquired the shares of Royal Touch Foods Inc. ("Royal Touch"), a pre-packaged sandwich supplier based in Etobicoke, Ontario, for $7.0 million net of cash acquired. The Company purchased 50% of the Royal Touch shares from Maple Leaf Foods and acquired the remaining shares from an unrelated third party. The purchase price is subject to an adjustment based on the net assets of Royal Touch as at the acquisition date. Such adjustment has not yet been determined.